

EYE-POPPING GAINS

Some of the most popular IPOs of 2021 have given more than double returns to investors in just one day

IPO	Number of times subscribed				Issue price (₹)	Closing price on listing day (₹)	Single-day gain (%)
	QIB	Retail	HNI	Overall			
Paras Defence & Space Technologies	70.75	100.80	954.88	213.89	175.00	498.75	185%
Latent View Analytics	60.57	106.09	867.81	184.17	197.00	488.60	148%
Tatva Chintan Pharma Chem	76.15	31.37	503.11	124.52	1,083.00	2,310.25	113%
MTAR Technologies	66.64	25.3	643.47	138.7	575.00	1,082.25	88%
Tega Industries	86.54	25.84	659.47	151.24	453.00	725.50	60%
Nazara Technologies	42.30	67.76	387.25	96.22	1,101.00	1,576.80	43%
C E Info Systems	79.28	13.18	422.45	107.62	1,033.00	1,394.55	35%
Rolex Rings	57.88	21.67	355.67	89.88	900.00	1,166.55	30%
Shyam Metalics & Energy	63.52	10.00	334.48	84.58	306.00	375.85	23%
Easy Trip Planners	31.83	62.95	383.34	87.67	187.00	208.30	11%

SOURCE: PRIME DATABASE

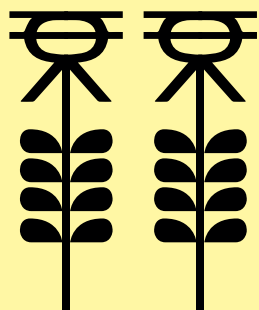
THE PATH TO MULTIBAGGER RETURNS

Easy Money for HNIs...

- ▶ Start point is the HNI portion size of an IPO
- ▶ Market intel is gathered on likely demand
- ▶ HNIs need to only provide a small margin for availing finance
- ▶ Quantum of margin, rate of interest based on expected HNI demand
- ▶ NBFCs issue commercial paper to raise funds
- ▶ HNIs submit bids on the last day of IPO and sell allotted shares on listing day; borrowed funds returned to NBFCs

...and for NBFCs, too!

- ▶ IPO financing typically done at around 9 per cent per annum
- ▶ Cost of CP (commercial paper) issued to raise funds for IPO finance around 4-5.5 per cent per annum
- ▶ The spread is assured income for NBFCs
- ▶ Margin money is collected from HNIs before financing
- ▶ Interest on margin is also pocketed by NBFCs
- ▶ Each IPO financing cycle lasts only around 7-9 days



963.5
TIMES
HNI SUBSCRIPTION FOR
THE APOLLO MICRO
SYSTEMS IPO

42.2
TIMES
SUBSCRIPTION TO
THE INSTITUTIONAL
PORTION OF THE IPO

39
TIMES
SUBSCRIPTION TO THE
RETAIL PORTION OF THE
JANUARY 2018 IPO

SOURCE: PRIME DATABASE